BRIGHT HERMOSA BUILDERS INC.	Document No.	Section No.
	Effective Date:	Revision No.
	PROCEDURAL MANUAL	
	VARIATION ORDER	

OBJECTIVE	To identify if the variations will affect the cost and time of the Original Contract awarded to the Contractor. To establish guidelines for variation order and construction change directive approval for construction projects.
SCOPE	Identifying the variations on issued IFC plans from the Original Contract Awarded Plans. This determines the addition or deduction to the Scope of Work that can identify the cost implication or time impact from the Original Contract.

Responsibility	Activities		Documents
DD Design	Releasing of **Issued For Construction (IFC)** Plans	Note 1	*Original Plans* *Revised or Issued For Construction (IFC) Plans*
Project Engineer	Issuance of **Site Instruction (SI)**	Note 2	*(SI) Site Instruction* *IFC Plans – Photocopy* *Original Plans*
Contractor	Submission of **Cost Proposal**		*Cost Proposal* *(SI) Site Instruction – Photocopy* *IFC Plans – Photocopy* *Original Plans*
Site Engineer/ Quantity Control	Review and Evaluate **Cost Proposal**	Note 3	*(ECP) Evaluated Cost Proposal* *(CCP) Contractor's Cost Proposal* *(SI) Site Instruction – Photocopy* *IFC Plans – Photocopy* *Original Plans*
DD Manager/ DD Director	Approval and checking of **Evaluated Cost Proposal**	Note 4	*Signed and Approved* *(ECP) Evaluated Cost Proposal*
Site Engineer/ Quantity Control/ Contractor	Reconciliation of **Quantity, Rate and Amount**	Note 5	*(ECP) Evaluated Cost Proposal* *Cost Proposal* *(SI) Site Instruction – Photocopy* *IFC Plans – Photocopy*
	Reconcile?	NO	
		YES	
Quantity Control/ Project Engineer	Issuance of **Approved Variation Order Form/ Approved Variation Order Notification**	Note 6	*(AVON) Approved Variation Order Notification* *(AVOF) Approved Variation Order Form* *Reconciled Evaluation of Cost Proposal* *Cost Proposal* *(SI) Site Instruction – Photocopy* *IFC Plans – Photocopy*
Contractor	Construction On-Site		

A **Variation Order (VO)** is a written agreement to change the work order that was agreed in the Contract. It involves changes to scope, time and materials. They may be issued for addition or subtraction to scope of work if there are changes in plans, designs, schedules or scope. This also refers to increase/decrease in quantities and amount of the contract.

Variation Order Request Type

Type	Category
Emergency	▪ Safety ▪ Site Conditions (if applicable)
Urgent	▪ Government Requirements ▪ Site Conditions ▪ Design/Scope Oversight ▪ Safety ▪ Design Refinement ▪ Change of Scope ▪ System Limitation
Non-Urgent	▪ Government Requirements ▪ Design Refinement ▪ Change of Scope ▪ System Limitation

The following documents are required for the processing of Variation Order

Abbreviation	Documents Required
Original Plans (If there are changes from original award)	Original Plans issued on the Award which is part of the Original Contract
IFC Plans	Issued for Construction Plans ▪ Signed by Designers (Engineers and Architects) ▪ Approved by DD Manager and DD Director ▪ Final approval from Board of Directors
SI	Site Instruction Form ▪ Instructed by Project Engineer ▪ Noted by Quantity Control ▪ Received and Confirmed by Contractor

NOTE 1: [Releasing of Issued For Construction (IFC) Plans]

1. **Issued For Construction (IFC) Plans** is a 2D drawing issued by the architects or consultants to the construction contractor during the final stage of the design process that was signed and approved by the consultants and by the Board of Committee. It generalized details of construction plan based on which a contractor can bid the estimated amount in terms of price, labor, material, equipment, etc. to complete the work. This document states that the design is ready for construction on-site.
2. A Variation Order will proceed only if there will be a signed and approved IFC Plans.
3. It can be classified as:
    a. **Variation Order with Changes**, if there are changes of plans, designs, schedules or scope from the awarded plans.
    b. **Additive Variation Order**, if there are additional plans, designs, schedules or scope from the awarded plans.
    c. **Deductive Variation Order**, if there are valued engineering or deduction on plans, designs, schedules or scope from the awarded plans.
4. IFC plans should be released by the **DD design team** and must be signed by the designers and approved by the **DD Manager**, **DD Director** and up to **Board of Director's** level.

NOTE 2: [Issuance of Site Instruction (SI)]

1. **Site Instruction** is a formal written order issued by the **Project Engineer** to contractors on a specific project. To instruct and give directions on site to proceed with the changes in plans, designs, schedules or scope. In some instances, it may mean no cost, however, on some projects it requires a cost to be submitted by the contractor.
2. This is to specify and to detail the instruction for the changes on issued IFC plans, where it indicates if there shall be a cost implication (by Quantity Control) or a time impact (by Project Engineer) from the awarded contract.
3. This must to be received and to be confirmed by the Contractor as an information that there will be a variation on their contract and it is to inform them that they must submit a cost proposal on the given duration indicating the cost implication and time impact regarding on the issued SI.

NOTE 3: [Review and Evaluate Cost Proposal]

1. **Cost Proposal** is the submitted document of the Contractor that shows the Bill of Quantities of the contractor for the specific scope with breakdown of the following:
    a. Activity Description

b. UOM – Unit of Measurement
c. Quantity
d. Unit Rate – composed of the following:
  i. Material
  ii. Labor
  iii. Equipment
  iv. Others
e. Amount

2. The Quantities must be reviewed and reconciled by the Site Engineer and Quantity Control to Contractor based on their estimate from the given IFC plans.
3. The Unit rate must be reviewed and evaluated by the Quantity Control based on the following:
   a. If additive or deductive, unit rate must be the same unit rate from the existing contract.
   b. If additional scope, unit rate must be evaluated by Unit Price Analysis (UPA)

NOTE 4: [Approval and Checking of Evaluated Cost Proposal]
1. The Evaluated Cost proposal shall be checked by the DD Manager and DD Director for approval of the evaluation and for any comments regarding on the scoping and unit rates.

NOTE 5: [Reconciliation of Quantity, Rate and Amount]
1. The approved evaluation of must be reconciled with the Contractor to confirm that both parties have agreed with the quantity, rate and amount before proceeding on the construction.

NOTE 6: [Issuance of Approved Variation Order Form and Approved Variation Order Notification]
1. **Approved Variation Order Form** is a legal form that breaks down the Bill of quantities of the contractor after the approved change order was made. It is divided into three portions, first is the breakdown of the Original Awarded Contract, second is the breakdown of the current Approved Variation Orders, and lastly is the breakdown of the additive/deductive variation. Then it sums up the New Total Contract Amount of the Contractor after the current variation.
2. **Approved Variation Order Notification** is a notification form that informs the Contractor about the approved Variation Order where it summarize the Change to Contract Amount and Change to Contract Completion Date. It gives authorization and direction to the Contractor to make changes on their contract.
3. If the Evaluation is already reconciled with Contractor,
   a. **Quantity Control** must prepare the Approved Variation Order Form and Approved Variation Order Notification,
   b. for review by **Project Engineer**
   c. Noted by **DD Manager**
   d. Approved by **DD Director**

4. Once signed by the VHBC responsible persons, the AVOF and AVON must be issued by the Project Engineer to the Contractor for confirmation and for implementation on-site of the contractor.